Replacing the Glass: Modernizing the Discount Window for Efficiency and Ease of Use

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If you run a bank's treasury or liquidity strategy, I have a confession to make: Until recently, the basic process to request a loan had largely been unchanged since the 1970s, back when discount window loan requests were routinely called in to a Reserve Bank's local discount window team over the telephone.

Sure, our underlying technology evolved over the decades, and the discount window has consistently provided reliable liquidity when banks needed it most—in normal times, and in financial crises. But the actual user experience—picking up the phone, calling your local Reserve Bank's discount window staff,

working through paper-heavy collateral requirements—remained locked in a legacy mold. If you felt that the process had a bit too much friction, you weren't wrong.

Two years ago, we decided to change that. We listened directly to feedback from bankers and industry trade groups across the country. In late 2024, the Board of Governors formally issued a Request for Information (RFI) specifically seeking public input on the operational aspects of discount window credit. You told us where the frictions existed—from onboarding delays to complex collateral processes—and we took those insights to heart.

Wherever the discount window fits into your institution's contingency funding plan, our mission is to ensure that when central bank liquidity is needed, accessing it is as simple, fast, and transparent as possible. We want to be an enabler of your liquidity plan, not a barrier. Here is a look at what we've built, what's changing right now, and why it matters for your institution.

From phone calls to portals: The modernized discount window

The most noticeable shift in our day-to-day operations is Discount Window Direct (DWD), our online portal accessed via FedLine® Solutions.

Through the portal, eligible institutions can request Primary and Seasonal Credit advances online, message directly with Reserve Bank staff, track current loan and collateral balances, process prepayments with no penalties, and upload collateral files directly into the system. Although Secondary Credit requests will still need to be called in directly to local Reserve Bank staff, the majority of overall borrowing volume now flows seamlessly through DWD.

Core program fundamentals haven't changed—Primary, Secondary, and Seasonal Credit remain in place, with rates tied transparently to the target federal funds range and primary credit funds available without restrictions on their use. What has changed is ease and convenience. The discount window has always been open for lending until the close of the Fedwire® Funds Service (generally 7:00 p.m. ET)—but DWD now makes it far easier to actually get a request in before that deadline, and institutions can even request an early posting time for their loan to align with their specific funding needs.

Importantly, there is no cost to set up or use DWD, and your institution's existing FedLine® Solutions connection provides access to DWD. If your institution doesn't already have this connection, see our DWD application setup guide for instructions on setting up new FedLine access or modifying an existing connection to enable DWD.

Streamlining Borrower in Custody collateral

For many institutions, pledging loan portfolios under our Borrower in Custody (BIC) program is the most efficient way to maintain possession of underlying documentation while maximizing available borrowing capacity. Historically, onboarding and maintaining a BIC arrangement could feel administrative and slow.

On September 8, 2026, we rolled out a series of major improvements to the BIC program designed to slash paperwork while maintaining robust risk controls:

1. *Elimination of mandatory pre-enrollment inspections*. Most qualifying institutions no longer require pre-enrollment inspections before onboarding, dramatically speeding up access to their pledged collateral.

2. *Simplified, standardized documentation*. Fragmented district forms have been replaced by streamlined and standardized application, modification, and certification documents across all 12 Reserve Banks.

3. *No more 10 percent balance drop reporting*. The requirement for banks to track and notify their Reserve Bank whenever the aggregate current outstanding balance of pledged loans drops by more than 10 percent has been eliminated.

4. *Focused, narrowed inspections*. Periodic inspections have been restructured to focus strictly on data quality, loan acceptance criteria, and basic internal controls. Although our loan sampling size during these periodic reviews has changed to ensure robust verification, the overall scope of the audit is narrower and more targeted.

Separately, we have also made it easier to manage collateral documentation on an ongoing basis. We now broadly accept e-signed legal agreements and digitally imaged loan collateral files (subject to state law), and our online collateral margin tables have been updated to be easier to read and more transparent to navigate.

Same-day access with securities

For institutions already set up with discount window access and holding securities in their Fedwire Securities accounts, pledging is simple. Securities can be transferred to your discount window pledge account—even late in the day—and, for institutions with borrowing arrangements already in place, loans can be funded same-day. Securities held elsewhere, such as at other central securities depositories (CSDs), can also be pledged on a same-day basis, subject to that CSD's operating hours. This speed matters most when liquidity needs arise quickly, giving your institution a fast, reliable option alongside other funding sources.

Here to support you

The Federal Reserve was founded in part to provide an elastic supply of liquidity and promote a more stable banking system, and the discount window has been central to that mission from the start. By modernizing the discount window and simplifying the BIC program, we are making sure our tools match the pace and technology of 21st century banking.

This modernization effort isn't unique to Atlanta—it reflects a System-wide commitment stretching back even further than the phone-based process I described above. As Federal Reserve vice chair Philip Jefferson noted in recent remarks at the 2026 U.S. Treasury Market Conference on September 22, 2026, the discount window has evolved "from a physical teller window at a Reserve Bank that a bank representative had to visit to an online portal that permits a bank to request a loan with a few clicks." That work continues on multiple fronts—including ongoing efforts to strengthen coordination between the Federal Reserve and the Federal Home Loan Banks, so that liquidity providers are better prepared to work together when banks need it most.

Whether you are looking to register for DWD, set up a new BIC arrangement, or run a routine test loan, your local Reserve Bank discount window team is here to walk you through it. I invite you to explore our dedicated Atlanta District Discount Window page for district guidelines, or visit FRBDiscountWindow.org to select your district and see how these improvements can strengthen your institution's liquidity toolkit.

Do you have questions for the Sixth District discount window team? *Visit our dedicated Atlanta District discount window page to view Sixth District operational guidelines, access portal onboarding resources, or reach our discount window credit staff directly.*